

Channels, then contracts

Two questions, one road. How do we get VetPath in front of the Department of War and the VA - and how does that same effort put the most money in our pockets? The answer is unusually clean: for the next year both goals require identical work, and the single richest door into the DoW is one only a for-profit company can walk through.

August 14, 2026 Channels verified against official sources · dollar figures are planning estimates

First, what "official" does and does not mean

The VA does not endorse outside websites. It states directly that inclusion in a VA directory **does not constitute approval or endorsement** by VA or the United States Government. Any pitch built on implied endorsement fails, and claiming it would put us on the wrong side of the line we hold on every page of the site.

What these agencies do offer is **distribution** - our resource placed in front of transitioning service members through channels they already read - and, further down the road, **procurement**, where the government stops being an audience and becomes a customer. Distribution is free and available now. Procurement is where the real money is.

On the name: Executive Order 14347 (September 2025) made "Department of War" a secondary title. The Department of Defense remains the legal name, since only Congress can change a statutory one. Both appear in practice - SkillBridge now brands itself DoW SkillBridge. Using "Department of War (DoW)" in correspondence is safe either way.

The strategic read

The four distribution channels below are open to **any** veteran-serving organization. None require a nonprofit. None require money. They are the same first move whether we end up a charity or a company - which means **we do not need the entity decision to start**.

The fork only bites later, and it is sharper than it looks. Nonprofit status opens grants and closes ownership. For-profit status opens **DoD SBIR** - a program that is for-profit only, that awards more than \$1.8 billion a year, and whose final phase is an uncapped sole-source contract - and closes most grants.

So if the goal is maximum income, the recommendation is straightforward: **build for-profit, and treat the free channels as the proof of traction that makes an SBIR proposal credible**. Getting in front of the DoW as a *vendor* pays orders of magnitude more than getting listed as a resource - and the listing is how we earn the standing to become the vendor.

PHASE ONE · NO ENTITY REQUIRED, NO COST

Four doors open to us right now

VetResources Community Network

[OPEN NOW](#)

The VA Veterans Experience Office runs this network for veteran-serving organizations. Membership is open by application, and it is the highest-leverage free move available to us.

What membership buys: the ability to publish our resources in the VetResources newsletter, which reaches **over 17 million veterans weekly**; to post our outreach events on the official VA Outreach and Events page; and to publish on VA News under the #VetResources tag. Members also get monthly Connect sessions and subgroup access.

- 1 Register for a consult** with the Veterans Experience Office through the VRCN registration page. The intake is a conversation, not a paper application.
- 2 Bring the site itself.** Our strongest asset is that every number on VetPath links to an official source - exactly the standard these programs vet for.

- 3 **Start with an events post** once accepted, before attempting a newsletter placement.

National Resource Directory

[OPEN NOW](#)

A directory run jointly by the Departments of Defense, Veterans Affairs, and Labor - the closest thing to an official vetted list of resources for service members and families. Any organization or individual may submit a resource for review.

Why it is worth the paperwork: listings are verified through a documented process and re-checked annually. It is a credential we can point to in every conversation further down this page, including the SBIR one.

- 1 **Read the participation policy first** and confirm we meet each criterion. Resources must be accessible and relevant to service members, veterans, families, and providers.
- 2 **Submit through [nrd.gov](#)**, tagging the audiences and topics our tools match - transition, employment, education, housing.
- 3 **Calendar the annual re-verification** so a listing is never lost to an unanswered email.

Community Veterans Engagement Boards

[OPEN NOW](#)

Local boards, roughly 160 nationally, where veterans, providers, and civic leaders work on gaps in their own community. Supported by the VA's Veterans Experience Office, operated locally, and explicitly open to everyone.

We have two metros, not one. Kaleb is in Dallas and Frank lives in California full time, so this channel runs in parallel in both states rather than competing for one person's time. Boards put VSO staff, county veteran service officers, and VA facility outreach people in the same room - one relationship there beats a hundred cold emails, and those are the same people who later become licensing customers. California is the bigger prize of the two: **roughly 1.6 million veterans, the largest population of any state.**

- 1 **Texas, Kaleb:** I could not confirm a dedicated DFW board in public listings, so start by asking VA North Texas Health Care System outreach staff which board covers the area. Work the Dallas Veteran Affairs Commission in parallel - the city's own veteran board and a direct line into municipal referral paths.
- 2 **California, Frank:** start with **CalVet**, the state department of veterans affairs, and ask which engagement board and County Veterans Service Office cover his county. California runs county-level veteran service offices statewide, which is a denser network than Texas offers.
- 3 **If no local board exists, start one.** The VA publishes a playbook for exactly this, and founding one would put VetPath at the center of the regional table.

The transition classroom (TAP)

[OPEN NOW](#)

The Transition Assistance Program is an interagency effort - Defense, Labor, Education, VA, Homeland Security, plus SBA and OPM. Its curriculum is federally mandated and not open to outside additions. But TAP explicitly recognizes a surrounding layer of *community resources* delivered by local government, industry, and nonprofits. That layer is ours.

The realistic target is the handout table and the referral habits of two roles: installation Transition Assistance staff, and the VA TAP Benefits Advisors posted at many installations. Both spend their days pointing people somewhere.

- 1 **Identify the nearest installations** in both states. North Texas starts with NAS Fort Worth JRB. California is where the volume is - if Frank is in Southern California, the San Diego cluster (Naval Base San Diego, MCAS Miramar, Camp Pendleton) processes more transitioning service members than anywhere else in the country. Northern California points to Travis AFB.
- 2 **Lead with the printed one-pager, not the URL.** These offices hand paper to people in a classroom, and we already have the piece.
- 3 **Ask for a five-minute demo slot** with the VA Benefits Advisor rather than a curriculum change. The advisor is the decision-maker who matters.

WORTH KNOWING, NOT WORTH CHASING

DoD SkillBridge comes up in every one of these conversations, but it is a program for employers hosting transitioning service members as interns - not a listing channel. It also requires three years of operating history and only accepts applications in fall and spring windows. Know it well enough to speak to it; do not spend time on it.

PHASE TWO · WHERE THE MONEY ACTUALLY IS

The SBIR ladder: the DoW as customer, not audience

The Small Business Innovation Research program is how the Department of War buys innovation from small companies. It is the largest such program in the federal government, awarding more than \$1.8 billion a year, and open topics regularly fit dual-use tools like ours - Guard and Reserve retention, transition readiness, SkillBridge matching. Crucially, it is **non-dilutive**: the money is not investment, and founders keep 100 percent ownership.

PHASE I

Prove it could work. A short feasibility study answering whether this is technically doable and whether it solves a problem the DoW actually has. The deliverable is a report plus a demo or limited prototype, not a finished product. **3-6 months of work**, with roughly 6-9 months from submission to award. The hard part is the proposal itself - weeks of focused writing, and where most applicants lose.

\$250k-295k

streamlined awards \$50-75k

PHASE II

Build it. Turn the Phase I concept into something that actually works in the target environment. **12-18 months**, and the phase that funds real salaries and development.

up to \$2M

PHASE III

The government buys it. Contracts may be awarded **sole-source with no justification required**, are not capped in value, and are not subject to small-business size limits - so they survive the company outgrowing the program, and they follow a successor in interest if the company is ever acquired. The money comes from real program budgets, not the SBIR pool.

Uncapped

Two mechanics worth knowing. DoD releases topics **monthly** - first Wednesday, closing the last Wednesday of the following month - so this is frequent shots on goal rather than one annual window. And **"Direct to Phase II"** lets an applicant skip Phase I entirely by showing feasibility was already proven by other means. VetPath is a working product with real users, which is exactly that argument - worth exploring seriously, because it means up to \$2M without the Phase I detour.

THE GATE NOBODY WARNS YOU ABOUT: WHO CAN BE THE PI

The Principal Investigator on an SBIR project must be **more than 50 percent employed by the small business** for the duration of the project. Full-time employment elsewhere is explicitly disqualifying - NSF treats more than 19.6 hours a week at another job as a conflict. **Kaleb works full time at Tower Street, so as things stand he cannot be the PI.** Four ways through, in order of least cost: **(1)** Frank serves as PI, if he is not full-time employed elsewhere - ask him directly, it may cost nothing; **(2)** submit anyway, because primary employment is not required at proposal time, only at award and during the project; **(3)** bring in a third person as contact PI - for Phase I only the contact PI must meet the requirement, co-investigators need not; **(4)** Kaleb goes part-time at Tower Street, which is rational only once Phase II money can fund a salary.

Phase III work must derive from the earlier SBIR work and is funded from outside the SBIR program itself. The ladder is competitive at Phase I, but a working product with a veteran founder story and documented federal-channel traction is a genuinely strong position to enter from.

Can we run SBIR and employer revenue at the same time? Yes - and they strengthen each other. SBIR proposals are scored partly on commercialization potential: can this become a real business, or is it a science project? Paying employer customers are the strongest possible evidence, so employer revenue does not compete with the SBIR effort - it improves the application. Different customers, different money, no conflict.

The genuine constraints are founder time during proposal weeks, keeping SBIR project scope and accounting separate from commercial work, and the PI requirement above - which is a personnel question, not a bandwidth one. That last item is why the employer engines lead: they have no personnel gate, they pay first, and they build the evidence SBIR wants to see.

PHASE TWO, CONTINUED

The commercial engines that do not need permission

SBIR is slow money. These run in parallel on the same free product, and they are why the distribution channels above are worth the effort - every one of them puts us in front of a future paying customer.

ENGINE	WHY IT PAYS	PLANNING ESTIMATE
Employer hiring pipelines	Veteran hiring is an established paid problem. We hold what recruiters cannot buy: veterans at the decision moment with a stated direction, salary target, timeline, and location. Opt-in introductions only.	\$100k–250k/yr 10 partners
Organization licensing	VSOs, university veteran centers, workforce boards, and employer resource groups license VetPath for the veterans they already serve. They pay; the veteran never does. The engagement boards above are the sales channel.	\$25k–100k/yr 5–10 orgs
White-label instances	A state agency or large VSO runs a branded VetPath for its whole population. One anchor deal steadies a year.	\$25k–100k/yr per instance

ENGINE	WHY IT PAYS	PLANNING ESTIMATE
Sponsored connections	Paid introductions to VA-savvy lenders and agents when a veteran asks for one. Decided in August 2026; needs counsel on structure before it ships.	TBD counsel first
Margin note: VetPath runs on free-tier hosting today. Gross margin on anything sold is already in the 85-95 percent range, so there is no cost problem to solve - only a scale problem. The two things that would destroy that margin are paid advertising and services creep, and we should refuse both.		

THE DECISION THAT ACTUALLY FORKS THE ROAD

Nonprofit or company

STRUCTURE	OPENS	CLOSES	CEILING
501(c)(3)	Texas Veterans Commission grants, veteran-focused foundations, tax-deductible gifts, volunteer labor. Earned revenue still allowed if mission-related.	SBIR entirely - it requires a business organized for profit. Also equity, founder ownership, and any exit.	\$250k–500k/yr no equity
For-profit	The full SBIR ladder, employer and licensing revenue, equity investment if ever wanted, fast decisions, and founders owning what they built.	Most foundation and state veteran-assistance grants. Some partners read "for-profit" as a trust question - answerable, but real.	\$200k–600k/yr + Phase III + equity

IF WE GO NONPROFIT, THE CLOCK STARTS THE DAY WE FILE

The Texas Veterans Commission's Fund for Veterans' Assistance requires a 501(c)(3) to have existed **longer than two years** from the effective date on its IRS determination letter. Nothing accelerates that. So the nonprofit path is not just a smaller ceiling - it is a smaller ceiling that pays nothing for two years. Note that 501(c)(19) veterans posts and Texas chapters of 501(c)(4) veterans service organizations are also eligible, which may matter depending on structure.

The recommendation. If the goal is maximum income, form the for-profit. A 501(c)(3) cannot legally build founder equity - its assets are locked to the mission - so it answers "how does this sustain itself," not "how do we make the most." The for-profit keeps every channel in phase one, adds the entire SBIR ladder, and still keeps VetPath free for every veteran, because the free product is the customer-acquisition engine rather than the merchandise.

The honest counterweight, worth Frank's judgment: nonprofit status carries trust weight in this community and unlocks grant money that needs no customer. A hybrid - a company that builds, with an affiliated nonprofit that receives grants - is common and workable, but it doubles the administration and needs real legal care on money moving between the two. It is a year-two conversation, not a year-one one.

IF THE GOAL IS MONEY IN OUR POCKETS

Maximizing take-home, specifically

Revenue and take-home are different questions. An organization can raise a great deal of money and hand its founders none of it. This section answers the narrower question: what puts the most money in Kaleb's and Frank's hands.

WHY THE NONPROFIT PATH IS DISQUALIFIED FOR THIS GOAL

Not a preference - a legal fact. A 501(c)(3)'s assets are permanently locked to its mission. Founders may draw **only a salary**, and that salary is capped by the IRS "reasonable compensation" standard, with excise taxes for exceeding it. Founders own nothing: if VetPath were one day worth millions, their share of that value is zero, and the board that governs the nonprofit can replace them with no equity claim on their side. A nonprofit is an excellent answer to "how does this sustain itself." It cannot answer "how do we build wealth."

Within the for-profit, sequence beats menu

All four engines are worth running eventually. The order matters because founder time is the scarce resource - one of us has a full-time job, and federal contracting overhead is heavy.

ENGINE	FIRST DOLLAR	TAKE-HOME QUALITY
Employer hiring pipelines	6-12 mo	Best near-term. Recurring, roughly 90 percent margin, low-touch once signed. The strongest take-home per hour of founder time.

ENGINE	FIRST DOLLAR	TAKE-HOME QUALITY
Organization licensing	9–18 mo	Same margin profile, and sold to exactly the people the engagement boards introduce us to. Phase one is literally the sales pipeline.
SBIR ladder	12–18 mo PI gate first	Highest ceiling by a wide margin, but proposal writing, SAM.gov registration, and federal compliance consume real time - and it cannot start at all until someone whose primary employment is VetPath can serve as Principal Investigator. Best take-home per dollar of ceiling; worst per hour early on.
White-label instances	Opportunistic	Lumpy and relationship-driven. One deal steadies a year, but it cannot be forecast.
Sponsored connections	Blocked	Cannot ship before counsel reviews the fee structure. Treat as upside, never as a plan.

Read together: employer pipelines pay the bills and reward the least time. SBIR is the wealth event. Run pipelines first and let SBIR compound behind them rather than starting both at once.

Three decisions that move take-home more than any revenue line

- **The tax election.** An LLC taxed as an S-corporation lets us split salary from distributions and avoid self-employment tax on the distribution share. A C-corporation faces double taxation on distributions but is generally what equity investors and acquirers expect. That single choice can swing effective take-home by a meaningful percentage. It belongs to a CPA, and the meeting is cheap relative to what it decides.
- **The ownership split.** Take-home is a percentage of something, and we have never written the percentage down. Settle it in the operating agreement *before* the first check arrives. Splits negotiated in the presence of money go badly; splits negotiated in its absence rarely do.

- **Kaleb's producer agreement with Tower Street.** He is a licensed insurance producer, VetPath touches insurance-adjacent content, and referral revenue is on the roadmap. Most producer agreements carry outside-business-activity or conflict-of-interest clauses. Read it before the entity is formed - discovering a restriction now costs a phone call, discovering it after building revenue on top costs the revenue.

The recommendation, in one line. Form the for-profit, start the four free channels immediately because they need no entity, sell employer pipelines to fund the operation, and let the SBIR ladder compound in the background toward the Phase III contract that is the actual wealth event.

Everything in this section is strategic reasoning, not tax or legal advice. The entity election and the operating agreement both need professionals, and both are inexpensive relative to what they protect.

NON-NEGOTIABLE

What has to stay true for any of this to survive vetting

- **Never touch claims preparation.** The VA's Office of General Counsel accredits the attorneys, claims agents, and VSO representatives permitted to help prepare, present, or prosecute a benefits claim. General benefits information is fine. Advice tied to a specific person's specific application is not, and crossing that line without accreditation is a legal problem rather than a branding one. VetPath is built on the correct side of it. Keep it there.
- **Never imply endorsement.** No VA or DoW seals, no "official partner" language, no government-adjacent design cues. Directory inclusion is not endorsement and must never be described as such - including in an SBIR proposal.
- **Every figure keeps its source link.** Already our practice, and the single thing most likely to carry us through directory vetting. It is also why we can be honest about being a private product rather than a government one.
- **Free for veterans stays load-bearing.** It is the trust position, the reason the channels accept us, and the acquisition engine underneath every revenue line above. The moment a veteran is charged for the core plan, most of this document stops working.

- **Sequence the sponsored connections deliberately.** Vetting processes may ask how we make money. Have the answer ready - introductions are labeled, veteran-initiated, and never a condition of using the free tools - and note that securing a directory listing before that feature ships is easier than applying after.

SEQUENCING

Month by month, and who owns each item

KALEB

FRANK

BOTH

Do we need a legal entity yet? Yes - inside 60 days, and revenue is not the reason

You are personally exposed today. The site is live and public, giving veterans guidance on benefits, housing, and career decisions. With no entity, a claim lands on Kaleb personally. Disclaimers reduce risk; they are not a liability shield. An LLC is.

Nothing is written down between the founders. Forming the entity forces the operating agreement, which forces the ownership split - and that conversation is far easier before money exists than after.

SBIR has a runway you have not started. The chain is entity, then EIN, then SAM.gov, then a UEI, then a proposal - and **SAM.gov alone takes 3-8 weeks**. A proposal without a UEI is rejected without review. A good topic in January needs an entity in September.

The recommendation is still a **Texas LLC**: \$300 to file, days to form, no state income tax, a \$2.65M franchise threshold, and it satisfies SBIR's for-profit requirement. S-corp tax treatment can be elected later once profit justifies payroll - a CPA decision, not a formation-day one. None of the four free channels need any of this, so those start now regardless.

TWO FOUNDERS, TWO STATES - BUDGET FOR THIS

Frank lives in California full time, and that has a price tag the plan has to carry. California law is actually narrower than its reputation here: **merely being a member or manager of an out-of-state LLC does not by itself make the company "doing business" in California.** But a member who actively transacts business on the company's behalf from inside California is a factor that does - and this plan has Frank making calls, running sponsored events, and selling from California. Assume the LLC will need to **foreign-register in California and pay the \$800 minimum annual franchise tax**, whether or not a dollar of California revenue ever appears, plus a California registered agent and a Statement of Information every two years. That is roughly \$1,000 a year of overhead, not a dealbreaker - but it is a specific question for the CPA and attorney in September, and far cheaper to plan for than to be assessed for later.

THIS MONTH

Groundwork - free, and no entity required

KALEB

Read the Tower Street employment agreement - outside-business-activity and conflict clauses. This gates everything below. Find out before filing, not after.

KALEB

Send the tester round-3 message.

KALEB

Register for the VRCN consult and submit to the National Resource Directory.

KALEB

Call VA North Texas outreach - which engagement board covers DFW? Then the Dallas Veteran Affairs Commission.

KALEB

Call NAS Fort Worth JRB transition office - what gets a resource sheet on the table?

FRANK

Call CalVet and his County Veterans Service Office - which engagement board covers his county, and who runs veteran outreach there?

FRANK

Identify the transition office at the installation nearest him and ask the same resource-sheet question.

FRANK

Answer the PI question - can his primary employment be VetPath? This decides whether SBIR is open at all.

BOTH

The ownership conversation: percentages, who does what, what happens if one of you leaves.

SEPTEMBER

Form the company

KALEB **File the Texas LLC** - \$300, plus about \$8 if paying by card online. The filing itself is a form; doing it yourself is fine.

KALEB Choose a registered agent. Serving as your own is free but puts your home address on the public record; a service runs \$50-300 a year.

KALEB Get the EIN from the IRS - free and instant online.

KALEB Open a business bank account. Never commingle funds - that is what pierces the liability shield.

BOTH **Operating agreement, with an attorney.** Do not do this one yourself. It is the document that makes the split real.

KALEB CPA meeting: tax election, how this income stacks on a W-2 at the margin, and **the California question** - whether Frank's activity level triggers foreign registration and the \$800 annual tax.

KALEB **Start SAM.gov the day the EIN exists.** Free, but 3-8 weeks. Starting now costs nothing and saves months later.

OCTOBER

First dollars, and registration-ready

KALEB SAM.gov completes - UEI in hand.

FRANK **Run the first sponsored facilitation event** on his format in California, with a sponsor underwriting it. \$2-10k, and the fastest real revenue available to us.

BOTH Build the employer target list in both metros - DFW and Frank's California market - focusing on companies with stated veteran-hiring programs.

KALEB Start watching DoD topic releases - first Wednesday of each month.

KALEB Read the first Search Console data: what are veterans actually searching for?

NOVEMBER

First employer conversations

BOTH Get one or two employer pilot partners into conversation.

KALEB Evaluate Direct-to-Phase-II against actual open topics - the working product is the argument.

BOTH If pursuing sponsored connections: counsel on RESPA and Texas licensing structure.

DECEMBER

Close and tidy

BOTH Target: first employer partner signed.

KALEB Books clean and franchise-tax reporting calendared. The annual report is **required even when nothing is owed** - the no-tax-due threshold is \$2.65M, so you will owe zero, but the filing is not optional.

BOTH Decide whether a Q1 SBIR topic is worth writing for.

Q1 2027

Submit, and scale what already works

BOTH If a topic fits: write and submit. Budget several weeks of focused effort.

BOTH Grow employer partners from one or two to three or four.

FRANK Open organization-licensing conversations with the orgs met through the engagement board.

Q2 2027+

Compounding

SBIR decision lands roughly 6-9 months after submission.

Licensing deals close; white-label becomes conceivable with a track record behind us.

Revisit the S-corp election once profit makes payroll worth it.

THE ONE THING THAT COULD CHANGE THIS PLAN

The Tower Street employment agreement. If it restricts outside business activity, or carries a conflict clause covering insurance-adjacent work, that has to be resolved before September. Everything downstream assumes Kaleb is free to own a company in this space - which is worth thirty minutes with the document this week rather than a discovery in month four.

SOURCES

- [VetResources Community Network - VA Veterans Experience Office](#)
- [National Resource Directory \(DoD / VA / DOL\)](#)
- [Community Veterans Engagement Boards - VA](#)
- [VA TAP Benefits Advisors](#)
- [Transition Assistance Program - Department of Labor](#)

- [SBIR eligibility requirements - sbir.gov](#)
- [SBIR Phase III - sole-source authority](#)
- [Army SBIR/STTR - phase durations and award sizes](#)
- [SBIR/STTR Principal Investigator primary-employment rule](#)
- [DoW SkillBridge - industry providers](#)
- [Texas Veterans Commission - Fund for Veterans' Assistance](#)
- [VA Office of General Counsel - accreditation](#)
- [Dallas Veteran Affairs Commission](#)
- [CalVet - California Department of Veterans Affairs](#)
- [California Franchise Tax Board - LLC annual tax](#)

Dollar figures are planning estimates drawn from published program data and market comparables, carried over from the VetPath funding playbook. Verify each before building a budget on it. Channel facts and eligibility rules were checked against the official sources listed above in August 2026.